COVER SHEET
for
AUDITED FINANCIAL STATEMENTS

SEC Registration Number

2021050013643-91

COMPANY NAME

ZED FINANCIAL PH, INC.

PRINCIPAL OFFICE (No. / Street / Barangay / City / Town / Province)

12TH FLOOR, NEO, 4TH AVENUE
CORNER 30TH STREET, BONIFACIO
GLOBAL CITY, TAGUIG, 1635

Form Type	Department requiring the report	Secondary License Type, If Applicable
AAFS	CRMD	RA8556

COMPANY INFORMATION

Company's Email Address	Company's Telephone Number	Mobile Number
danielle@zed.co	+639568573777	+639568573777

No. of Stockholders	Annual Meeting (Month / Day)	Fiscal Year (Month / Day)
6	06/03	12/31

CONTACT PERSON INFORMATION

The designated contact person *MUST* be an Officer of the Corporation

Name of Contact Person	Email Address	Telephone Number/s	Mobile Number
Danielle Cojuangco Abraham	danielle@zed.co	+639568573777	+639568573777

CONTACT PERSON's ADDRESS

635 Adelfa St., Ayala Alabang, Muntinlupa City 1780

NOTE 1 : *In case of death, resignation or cessation of office of the officer designated as contact person, such incident shall be reported to the Commission within thirty (30) calendar days from the occurrence thereof with information and complete contact details of the new contact person designated.*

2 : *All Boxes must be properly and completely filled-up. Failure to do so shall cause the delay in updating the corporation's records with the Commission and/or non-receipt of Notice of Deficiencies. Further, non-receipt of Notice of Deficiencies shall not excuse the corporation from liability for its deficiencies*

SyCip Gorres Velayo & Co.
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1226 Makati City
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INDEPENDENT AUDITOR'S REPORT

The Board of Directors and the Stockholders
Zed Financial PH, Inc. (Formerly Zed Philippines, Inc.)
(A Wholly-owned Subsidiary of Zed Financial, Inc.)
12th Floor, Neo, 4th Avenue Corner 30th Street,
Bonifacio Global City, Taguig, 1635

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Zed Financial PH, Inc. (the "Company"), which comprise the statement of financial position as at December 31, 2025, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year ended December 31, 2025 and notes to the financial statements, including material accounting policy information.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2025, and its financial performance and its cash flows for the year ended December 31, 2025 in accordance with Philippine Financial Reporting Standards (PFRS) Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Philippine Standards on Auditing (PSAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the Code of Ethics for Professional Accountants in the Philippines (Code of Ethics), as applicable to the audits of the financial statements of public interest entities, together with the ethical requirements that are relevant to the audits of the financial statements of public interest entities in the Philippines. We have also fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Matter

The financial statements of the Company as of and for the year ended December 31, 2024 were audited by another auditor who expressed an unmodified opinion on those statements on July 3, 2025.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with PFRS Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so. Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with PSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with PSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on the Supplementary Information Required Under Section 134-N of the Manual of Regulations for Non-Bank Financial Institutions (MORNBFI) and Revenue Regulations 15-2010

Our audits were conducted for the purpose of forming an opinion on the basic financial statements taken as a whole. The supplementary information required under Section 134-N of the Manual of Regulations for Non-Bank Financial Institutions (MORNBFI) in Note 18 Revenue Regulations 15-2010 in Note 19 to the financial statements is presented for the purpose of filing with the Bangko Sentral ng Pilipinas and Bureau of Internal Revenue, respectively, and is not a required part of the basic financial statements. Such information is the responsibility of the management of Zed Financial PH, Inc. The information has been subjected to the auditing procedures applied in our audit of the basic financial statements. In our opinion, the information is fairly stated, in all material respects, in relation to the basic financial statements taken as a whole.

SYCIP GORRES VELAYO & CO.

Alvin R. Lagrimas
Alvin R. Lagrimas
Partner
CPA Certificate No. 0134448
Tax Identification No. 400-496-026
BOA/PRC Reg. No. 0001, April 16, 2024, valid until August 23, 2026
SEC Partner Accreditation No. 134448-SEC (Group A)
Valid to cover audit of 2025 to 2029 financial statements
SEC Firm Accreditation No. 0001-SEC (Group A)
Valid to cover audit of 2021 to 2025 financial statements
BIR Accreditation No. 08-001998-199-2025, December 9, 2025, valid until December 8, 2028
PTR No. 10765061, January 2, 2026, Makati City

May 15, 2026

ZED FINANCIAL PH, INC.
(*Formerly Zed Philippines, Inc.*)

STATEMENT OF FINANCIAL POSITION

DECEMBER 31, 2025
(With comparative figures as at December 31, 2024)

	December 31	
	2025	2024
ASSETS		
Cash and other cash items (Note 6)	**₱74,500,881**	₱64,518,380
Receivables (Note 7)	**65,599,559**	28,172,071
Due from related party (Note 15)	**2,819,879**	47,423
Property and equipment (Note 8)	**5,187,203**	54,749
Deferred tax assets (Note 16)	**43,722**	1,950,508
Other assets (Note 9)	**10,089,564**	7,723,269
TOTAL ASSETS	**₱158,240,808**	₱102,466,400
LIABILITIES AND EQUITY		
LIABILITIES		
Accounts payable and other liabilities (Note 10)	**₱9,587,266**	₱3,034,712
Due to a related party (Note 15)	**89,033,242**	854,441
Lease liabilities (Note 11)	**4,147,340**	–
	102,767,848	3,889,153
EQUITY		
Capital stock (Note 13)	**100,000,000**	100,000,000
Additional paid-in capital	**355,999**	355,999
Deficit	**(44,883,039)**	(1,778,752)
	55,472,960	98,577,247
TOTAL LIABILITIES AND EQUITY	**₱158,240,808**	₱102,466,400

See accompanying Notes to Financial Statements.

ZED FINANCIAL PH, INC.
(*Formerly Zed Philippines, Inc.*)

STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED DECEMBER 31, 2025
(With comparative figures for the year ended December 31, 2024)

	Years Ended December 31	
	2025	2024
REVENUES		
Interchange fees	**₱6,773,147**	₱1,025,054
Interest income (Notes 6, 9 and 11)	**286,537**	338,430
Late payment fees	**204,997**	–
Incentives (Note 14)	–	7,594,561
Foreign exchange gain - net	–	3,695,093
Miscellaneous income	**27,320**	13,937
	7,292,001	12,667,075
EXPENSES		
Professional fees	**18,561,296**	9,906,075
Provision for credit losses (Notes 7 and 19)	**8,921,936**	–
Card network fees (Note 14)	**7,730,800**	884,455
Foreign exchange loss - net	**2,485,303**	–
Rent expense	**2,228,169**	1,609,333
Recruitment expense	**2,174,476**	–
Printing and packaging	**1,249,529**	511,147
Taxes and licenses (Note 19)	**1,129,325**	1,923,129
Depreciation and amortization (Note 8)	**1,064,314**	18,275
Delivery expense	**618,563**	282,456
Impairment loss on non-financial assets (Note 9)	**252,909**	–
Interest expense (Note 11)	**82,396**	–
Other expenses	**1,944,603**	1,571,004
	48,443,619	16,705,874
LOSS BEFORE INCOME TAX	**41,151,618**	4,038,799
PROVISION FOR (BENEFIT FROM) INCOME TAX (Note 16)	**1,952,669**	(1,954,864)
NET LOSS / TOTAL COMPREHENSIVE LOSS*	**₱43,104,287**	₱2,083,935

See accompanying Notes to Financial Statements.
**The Company has no other comprehensive income/loss items.*

ZED FINANCIAL PH, INC.
(***Formerly Zed Philippines, Inc.***)

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED DECEMBER 31, 2025
(With comparative figures for the year ended December 31, 2024)

	Number of Common Shares Outstanding (Note 13)	**Capital Stock** (Note 13)	**Additional Paid-in Capital**	**Retained Earnings (Deficit)**	**Total Equity**
Balances at January 1, 2025	**100,000,000**	**₱100,000,000**	**₱355,999**	**(₱1,778,752)**	**₱98,577,247**
Net loss / Total comprehensive loss for the year	–	–	–	**(43,104,287)**	**(43,104,287)**
Balances at December 31, 2025	**100,000,000**	**₱100,000,000**	**₱355,999**	**(₱44,883,039)**	**₱55,472,960**
Balances at January 1, 2024	10,000,000	₱10,000,000	₱–	₱305,183	₱10,305,183
Shares issued during the year	90,000,000	90,000,000	355,999	–	90,355,999
Net loss / Total comprehensive loss for the year	–	–	–	(2,083,935)	(2,083,935)
Balances at December 31, 2024	100,000,000	₱100,000,000	₱355,999	(₱1,778,752)	₱98,577,247

See accompanying Notes to Financial Statements.

ZED FINANCIAL PH, INC.
(*Formerly Zed Philippines, Inc.*)

STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED DECEMBER 31, 2025
(With comparative figures for the year ended December 31, 2024)

	Years Ended December 31	
	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Loss before income tax	**(₱41,151,618)**	(₱4,038,799)
Adjustments for:		
Provision for credit loss (Note 7)	**8,921,936**	–
Depreciation and amortization (Note 8)	**1,064,314**	18,275
Impairment loss on non-financial assets (Note 9)	**252,909**	–
Foreign exchange loss (gain)	**246,205**	(4,867,944)
Changes in operating assets and liabilities:		
Increase in the amounts of:		
Receivables	**(46,349,424)**	(27,883,525)
Due from related party	**(2,772,456)**	(21,023)
Other assets	**(2,577,451)**	(113,101)
Increase (decrease) in the amounts of:		
Accounts payable and other liabilities	**6,552,554**	(152,181)
Due to related party	**(6,199)**	6,196
Net cash used in operations	**(75,819,230)**	(37,052,102)
Income taxes paid	**(87,636)**	(7,471)
Net cash used in operating activities	**(75,906,866)**	(37,059,573)
CASH FLOWS FROM INVESTING ACTIVITY		
Acquisition of property and equipment	**(1,321,824)**	(5,048)
CASH FLOWS FROM FINANCING ACTIVITIES		
Proceeds from intercompany loan (Note 15)	**87,279,000**	–
Payments of principal portion of lease liabilities (Note 11)	**(727,604)**	–
Net cash provided by financing activities	**86,551,396**	–
EFFECTS OF FOREIGN EXCHANGE RATE CHANGES ON CASH	**659,795**	4,867,944
NET INCREASE (DECREASE) IN CASH	**9,982,501**	(32,196,677)
CASH AT BEGINNING OF THE YEAR	**64,518,380**	96,715,057
CASH AT END OF THE YEAR	**₱74,500,881**	₱64,518,380
OPERATIONAL CASH FLOWS FROM INTEREST		
Interest received	**₱281,973**	₱338,430
Interest paid	**82,396**	–

See accompanying Notes to Financial Statements.

NOTES TO FINANCIAL STATEMENTS

1. Corporate Information and Authorization For Issuance of Financial Statements

Corporate information
Zed Financial PH, Inc. (the "Company") was incorporated and registered with the Securities and Exchange Commission (SEC) on May 12, 2021, originally to engage in software development, data processing, and information technology products and services.

On March 20, 2024, the stockholders and the Board of Directors representing at least two-thirds of the outstanding capital stock approved an amendment to the Company's primary purpose to engage in the credit card business as a non-bank credit card issuer. The SEC approved this amendment on May 8, 2024, along with the change in the Company's name from Zed Philippines, Inc. to Zed Financial PH, Inc.

On May 31, 2024, the Bangko Sentral ng Pilipinas (BSP) authorized the Company to establish and operate as a non-bank credit card issuer under Monetary Board Resolution No. 703 dated May 19, 2022, pursuant to Republic Act No. 10870 (Philippine Credit Card Industry Regulation Law). The Company issues credit cards under the brand name "Zed Card."

The Company is a wholly-owned subsidiary of Zed Financial, Inc. (the "Parent Company"), a software development company headquartered in San Francisco, California, specializing in personal finance platforms.

The Company's registered principal office is at 12th Floor, Neo, 4th Avenue corner 30th Street, Bonifacio Global City, Taguig 1635.

Authorization for issuance of financial statements
The accompanying financial statements were authorized for issue by the Board of Directors (BOD) on May 15, 2026.

2. Summary of Material Accounting Policy Information

Basis of Preparation
The accompanying financial statements have been prepared on a historical cost basis. The financial statements are presented in Philippine Peso (₱), and all values are rounded to the nearest peso except when otherwise indicated.

Statement of Compliance
The financial statements of the Company have been prepared in compliance with Philippine Financial Reporting Standards (PFRS) Accounting Standards.

Presentation of Financial Statements
The statement of financial position of the Company is presented in order of liquidity. An analysis regarding recovery of assets or settlement of liabilities within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in Note 12.

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position only when:
- there is a legally enforceable right to offset the recognized amounts; and
- there is an intention to settle on a net basis, or to realize the asset and settle the liability simultaneously.

The Company assesses that it has a currently enforceable right of offset if the right is not contingent on a future event and is legally enforceable in the normal course of business, event of default, and event of insolvency or bankruptcy of the Company and all of the counterparties.

Income and expense are not offset in the statement of comprehensive income unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies of the Company.

New Standards, Interpretations and Amendments
The accounting policies adopted are consistent with those of the previous financial year, except for the adoption of the following amendments to PFRS Accounting Standards which became effective beginning on January 1, 2025. The Company has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

Unless otherwise indicated, adoption of these new standards did not have an impact on the financial statements of the Company.
- Amendments to PAS 21, *Lack of Exchangeability*
  The amendments specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking.

Standards Issued but Not Yet Effective
Pronouncements issued but not yet effective are listed below. The Company intends to adopt the following pronouncements when they become effective. Adoption of these pronouncements is not expected to have a significant impact on the Company's financial statements.

Effective beginning on or after January 1, 2026
- Amendments to Illustrative Examples on PFRS 7, PFRS 18, PAS 1, PAS 8, PAS 26 and PAS 37, *Disclosures about Uncertainties in the Financial Statements*
- Amendments to PFRS 9 and PFRS 7, *Classification and Measurement of Financial Instruments*
- Amendments to PFRS 9 and PFRS 7, *Contracts Referencing Nature-dependent Electricity*
- Annual Improvements to PFRS Accounting Standards – Volume 11
  - Amendments to PFRS 1, *Hedge Accounting by a First-time Adopter*
  - Amendments to PFRS 7, *Gain or Loss on Derecognition*
  - Amendments to PFRS 9, *Lessee Derecognition of Lease Liabilities* and *Transaction Price*
  - Amendments to PFRS 10, *Determination of a 'De Facto Agent'*
  - Amendments to PAS 7, *Cost Method*

Effective beginning on or after January 1, 2027
- PFRS 18, *Presentation and Disclosure in Financial Statements*
  The standard replaces PAS 1 *Presentation of Financial Statements* and responds to investors' demand for better information about companies' financial performance. Entities are required to are required to classify all income and expenses within the statement of profit or loss into one of five categories: operating, investing, financing, income taxes and discontinued operations, whereof the first three are new. There are specific presentation requirements and options for

entities, such as the Company, that have specified main business activities (either providing finance to customers or investing in specific types of assets, or both).

The new requirements also include:
a. Required totals, subtotals and new categories in the statement of profit or loss
b. Disclosure of management-defined performance measures
c. Guidance on aggregation and disaggregation

In addition, narrow-scope amendments have been made to PAS 7 *Statement of Cash Flows*, which include changing the starting point for determining cash flows from operations under the indirect method, from 'profit or loss' to 'operating profit or loss' and removing the optionality around classification of cash flows from dividends and interest. In addition, there are consequential amendments to several other standards.

The Company is currently assessing the impact of PFRS 18 on its primary financial statements and notes to the financial statements. The Company considers its main business activities to include the provision of financing to customers. In accordance with PFRS 18, some of the income and expenses related to those activities are classified in the operating category, as an exception to the general requirements that would otherwise have resulted in their classification in the investing or financing activities.

- PFRS 17, *Insurance Contracts*
- PFRS 19, *Subsidiaries without Public Accountability*
- Amendments to PAS 21, *Translation to a Hyperinflationary Presentation Currency*

Deferred effectivity
- Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Ventur*

Material Accounting Policy Information

The material accounting policy information that have been used in the preparation of these financial statements are summarized below. These policies have been consistently applied to all the years presented, unless otherwise stated.

Fair Value Measurement
Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:
- in the principal market for the asset or liability, or
- in the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the Company. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 – Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognized in the financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by reassessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at reporting date.

For purposes of fair value disclosures, the Company has determined classes of assets and liabilities on the basis of the nature, characteristics and fair value hierarchy as explained above.

Financial Instruments – Initial Recognition and Subsequent Measurement

Date of recognition
Financial instruments are recognized in the statement of financial position when the Company becomes a party to the contractual provisions of the instrument. Purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the marketplace are recognized on settlement date. Settlement date accounting refers to (a) the recognition of an asset on the day it is received by the Company, and (b) the derecognition of an asset and recognition of any gain or loss on disposal on the day it is delivered by the Company. Payable to counterparties or receivables from customers are recognized when cash is received by the Company or advanced to the customers.

'Day 1' difference
Where the transaction price in a non-active market is different from the fair value from other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable market, the Company recognizes the difference between the transaction price and fair value (a 'Day 1' difference) under 'Other income' or 'Other expense' in the statement of comprehensive income unless it qualifies for recognition as some other type of asset. In cases where the transaction price used is made of data which is not observable, the difference between the transaction price and model value is only recognized in the statement of comprehensive income when the inputs become observable or when the instrument is derecognized. For each transaction, the Company determines the appropriate method of recognizing the 'Day 1' difference amount.

Initial recognition of financial assets
Financial assets are classified, at initial recognition, as either at amortized cost, fair value through other comprehensive income (FVOCI) and fair value through profit or loss (FVTPL). The classification of financial assets at initial recognition depends on their contractual terms and the business model for managing the instruments. Financial liabilities are classified as financial liabilities at FVTPL and financial liabilities carried at amortized cost. Except for financial assets and liabilities recorded at FVTPL, the initial measurement of financial instruments includes transaction costs.

Receivables are measured at the transaction price. When the fair value of financial instruments at initial recognition differs from the transaction price, the Company accounts for the Day 1 profit or loss, as described above.

At initial recognition, the Company measures a financial asset at its fair value plus, in the case of financial asset not at FVTPL, transaction costs that are directly attributable to the acquisition or issue of the financial asset.

Classification and measurement of financial assets
The classification and measurement of financial assets is driven by the contractual cash flow characteristics of the financial assets and the Company's business model for managing the financial assets.

As part of its classification process, the Company assesses the contractual terms of financial assets to identify whether they meet the 'solely payments of principal and interest' (SPPI) test. 'Principal' for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (e.g., if there are repayments of principal or amortization of the premium or discount).

The Company determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective.

The Company's business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- how the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed;
- how managers of the business are compensated (for example, whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected); and
- the expected frequency, value, and timing of sales are also important aspects of the Company's assessment.

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realized in a way that is different from the Company's original expectations, the Company does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward; unless a change in business model has taken place, in which case, reclassification is necessary.

As of December 31, 2025, and 2024, the Company has no financial assets at FVTPL and FVOCI.

Financial Assets at Amortized Cost
Financial assets are measured at amortized cost if both of the following conditions are met:

- the financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets meeting these criteria are measured initially at fair value plus transaction costs. They are subsequently measured at amortized cost using the effective interest method, less any impairment in value. The amortization is included in 'Interest income' in the statement of comprehensive income. Gains or losses are recognized in the statement of comprehensive income when these financial assets are derecognized or impaired, as well as through the amortization process. Gains or losses arising from disposals of these instruments are also included in 'Gains (losses) on disposal of financial assets at amortized cost' in the statement of comprehensive income. The impairment based on expected credit loss is recognized in the statement of comprehensive income under "Provision for credit losses". The effects of revaluation of foreign currency-denominated financial assets are recognized in the statement of comprehensive income.

The Company's financial assets at amortized cost include cash in banks, receivables, due from a related party and certain accounts in other assets.

<u>Impairment of financial assets</u>
The Company measures expected losses of a financial instrument in a way that reflects:
- An unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes;
- The time value of money; and
- Reasonable and supportable assumption that is available without undue cost or effort at the reporting date about past events, current conditions and forecast of future economic conditions.

ECL allowances are measured at amounts equal to either (i) 12-month ECL or (ii) lifetime ECL for those financial instruments which have experienced a significant increase in credit risk (SICR) since initial recognition (or the General Approach). The 12-month ECL is the portion of lifetime ECL that results from default events on a financial instrument that are possible within the 12 months after the reporting date. Lifetime ECL are credit losses that result from all possible default events over the expected life of a financial instrument.

For non-credit-impaired financial instruments:
- Stage 1 is comprised of all non-impaired financial instruments which have not experienced an SICR since initial recognition. The Company recognizes a 12-month ECL for Stage 1 financial instruments.
- Stage 2 is comprised of all non-impaired financial instruments which have experienced an SICR since initial recognition. The Company recognizes a lifetime ECL for Stage 2 financial instruments.

For credit-impaired financial instruments:
Financial instruments are classified as Stage 3 when there is objective evidence of impairment as a result of one or more loss events that have occurred after initial recognition with a negative impact on the estimated future cash flows of a loan or a portfolio of loans. Lifetime ECL is recognized for credit-impaired financial instruments.

If the Company has measured the loss allowance at an amount equal to lifetime expected credit losses in the previous reporting period, but determines at the current reporting date, that the credit quality improves (i.e., there is no longer a significant increase in credit risk since initial recognition), then the Company shall measure the loss allowance at an amount equal to 12-month expected credit losses at the current reporting date.

The Company recognizes the amount of expected credit losses (or reversal), that is required to adjust the loss allowance at the reporting date, in the statement of comprehensive income.

Write-offs
Financial assets are written off either partially or in their entirety when the Company no longer expects collections or recoveries within a foreseeable future. If the amount to be written off is greater than the accumulated loss allowance, the difference is first treated as an addition to the allowance that is then applied against the gross carrying amount. Any subsequent recoveries are credited to profit or loss.

Financial liabilities at amortized cost
The Company recognizes a financial liability at amortized cost in its statement of financial position when, and only when, the Company becomes a party to the contractual provisions of the instrument. The Company

At initial recognition, the Company measures a financial liability at its fair value, including transaction costs that are directly attributable to the issue of the liability. Subsequently, the financial liability is measured at amortized cost using the effective interest method.

The Company's financial liabilities measured at amortized cost include accounts payable and other liabilities (except due to government agencies and statutory liabilities) and due to a related party.

Derecognition of financial assets
The Company derecognizes a financial asset when, and only when the contractual rights to the cash flows of the financial asset expire or it transfers the financial asset and the transfer qualifies for derecognition. The difference between the carrying amount and the consideration received is recognized in statement of comprehensive income.

Derecognition of financial liabilities
The Company removes a financial liability (or part of a financial liability) from its statement of financial position when, and only when, it is extinguished (i.e. when the obligation in the contract is discharged or cancelled or expired).

The difference between the carrying amount of a financial liability (or part of a financial liability) extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognized in statement of comprehensive income.

<u>Property and equipment</u>
Property and equipment are stated at cost less accumulated depreciation and amortization, and any impairment in value. Such cost includes the cost of replacing furniture, fixtures and equipment when that cost is incurred and if the recognition criteria are met, but excluding repairs and maintenance costs.

Depreciation and amortization is calculated using the straight-line method over the estimated useful life (EUL) of the depreciable assets as follows:

	EUL
Office equipment	3 years
Furniture and fixtures	5 years

The depreciation and amortization method and useful life are reviewed periodically to ensure that the method and period of depreciation and amortization are consistent with the expected pattern of economic benefits from items of furniture, fixtures and equipment.

An item of furniture, fixtures and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the statement of income in the year the asset is derecognized.

Leases

The Company assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Company as a lessee

The Company applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Company recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

Right-of-use assets

The Company recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized adjusted by lease payments made at or before the commencement date and lease incentives received. Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the depreciable assets. The depreciation expense is presented under 'Depreciation and amortization' in the statement of comprehensive income.

If ownership of the leased asset transfers to the Company at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset.

The right-of-use assets are also subject to impairment. Refer to the accounting policies on Impairment loss on non-financial assets.

Right-of-use assets are presented under 'Property and equipment' in the statement of financial position.

Lease liabilities

At the commencement date of the lease, the Company recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Company and payments of penalties for terminating the lease, if the lease term reflects the Company exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognized as expenses in the period in which the event or condition that triggers the payment occurs. In calculating the present value of lease payments, the Company uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable.

After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g., changes to future payments resulting from a change in an index or rate used to determine such lease payments), or a change in the assessment of an option to purchase the underlying asset.

Short-term leases and leases of low-value assets
The Company applies the short-term lease recognition exemption to its short-term leases (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases that are considered to be low value. Lease payments on short-term leases and leases of low value assets are recognized as expense on a straight-line basis over the lease term.

Impairment loss on non-financial assets
At each reporting date, the Company assesses whether there is any indication that any of its non-financial assets may have suffered an impairment loss. When an indicator of impairment exists or when an annual impairment testing for an asset is required, the Company makes a formal estimate of recoverable amount.

Recoverable amount is the higher of an asset’s or CGU’s fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those other assets or groups of assets, in which case the recoverable amount is assessed as part of the CGU to which it belongs. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset or CGU is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset or cash-generating unit is estimated to be less than its carrying amount, the carrying amount of the asset or cash-generating unit is reduced to its recoverable amount. An impairment loss is recognized as an expense in profit or loss.

When an impairment loss subsequently reverses, the carrying amount of the asset or cash-generating unit is increased to the revised estimate of its recoverable amount, but the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognized for the asset or cash-generating unit in prior years. A reversal of an impairment loss is recognized in profit or loss.

Equity instruments
An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

Capital stock is measured at par value for all shares issued and outstanding. When the shares are sold at a premium, the difference between the proceeds and the par value is credited to ‘Additional paid-in capital’ account. Direct costs incurred related to equity issuance, such as underwriting, accounting and legal fees, printing costs and taxes are chargeable to ‘Additional paid-in capital’ account. If the ‘Additional paid-in capital’ is not sufficient, the excess is charged against the ‘Retained earnings (Deficit)’.

Retained earnings (deficit) represent the Company’s accumulated net income or losses.

Revenue recognition
Revenues within the scope of PFRS 15, Revenue from Contracts with Customers
Revenue from contracts with customers is recognized upon transfer of promised goods or services to customers at an amount that reflects the consideration to which an entity expects to be entitled in exchange for transferring goods or services to a customer. The Company exercises judgment, taking into consideration all of the relevant facts and circumstances when applying each step of the five-step model to contracts with customers.

The following specific revenue recognition criteria must be met before a revenue is recognized:

Interchange fees
The Company provides its customers with credit card processing services (i.e., authorisation and settlement of transactions executed with the Company's credit cards) where it is entitled to an interchange fee for each transaction (i.e., when a credit cardholder purchases goods and services from merchants using the Company's credit card). The fees vary based on the number of transactions processed and are structured as either a fixed rate per transaction processed or at a fixed percentage of the underlying cardholder transaction. The variable interchange fees are allocated to each distinct day, based on the number and value of transactions processed that day, and the allocated revenue is recognised as the entity performs.

Late payment fees
Fees earned are recognized upon collection or when the Company has established that collection is probable.

Other income
Income is recognized when the control over the goods or services covered in the contract is transferred to the customer.

Revenues outside the scope of PFRS 15
Interest income
For all interest-bearing financial assets, interest income is recorded at either effective interest rate (EIR), which is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or financial liability, or at rate stated in the contract. The calculation takes into account all contractual terms of the financial instrument (for example, prepayment options), includes any fees or incremental costs that are directly attributable to the instrument and are an integral part of the EIR, as applicable, but not future credit losses.

Expense recognition
Expenses encompass losses as well as those expenses that arise in the course of the ordinary activities of the Company. Expenses are recognized in the statement of income:
- On the basis of a direct association between the costs incurred and the earning of the specific items of income;
- On the basis of systematic and rational allocation procedures when economic benefits are expected to arise over several accounting periods and the association can only be broadly or indirectly determined; or
- Immediately when expenditure produces no future economic benefits or when, and to the extent that, future economic benefits do not qualify or cease to qualify, for recognition in the statements of financial position as an asset.

Foreign currency transactions
In preparing the financial statement of the Company, transactions in currencies other than the Company's functional currency, i.e. foreign currencies, are recognized at the rates of exchange prevailing at the dates of the transactions. At the end of each reporting period, accounts denominated in foreign currencies are retranslated at the Philippine Peso based on the Bankers Association of the Philippines (BAP) closing rate prevailing at the reporting date for monetary assets and monetary liabilities, and at the exchange rate on transaction dates for income and expenses.

Foreign exchange differences arising from reporting foreign currency monetary transactions and restatements of foreign currency-denominated assets and liabilities are credited to or charged against 'Foreign exchange gain (loss)' in the statement of comprehensive income in the period in which they arise.

Income taxes
Current Tax
Current tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted as of the reporting date. Management periodically evaluates positions taken in the tax return with respect to situations in which applicable tax regulations are subject to interpretations and establishes provisions where appropriate.

Deferred Tax
Deferred tax is provided, using the balance sheet liability method, on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognized for all taxable temporary differences. Deferred tax assets are recognized for all deductible temporary differences, carry forward of unused tax credits from the excess of minimum corporate income tax (MCIT) over the regular corporate income tax (RCIT), and unused net operating loss carryover (NOLCO), to the extent that it is probable that sufficient taxable profit will be available against which the deductible temporary differences and carry forward of unused tax credits from MCIT and unused NOLCO can be utilized. Deferred tax, however, is not recognized on temporary differences that arise from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting income nor taxable income and) and at the time of the transaction, does not give rise to equal taxable and deductible temporary differences.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are applicable to the period when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Current tax and deferred tax relating to items recognized directly in equity are also recognized in equity and not in the statement of comprehensive income.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and deferred taxes relate to the same taxable entity and the same taxation authority.

Events after the reporting period
Any post year-end events that provide additional information about the Company's position at the reporting date (adjusting event) are reflected in the Company's financial statements. Post year-end events that are not adjusting events, if any, are disclosed when material to the financial statements.

3. Significant Accounting Judgments and Estimates

The preparation of the financial statements in accordance with PFRS Accounting Standards requires the Company to make estimates and assumptions that affect the reported amounts of assets, liabilities, income and expenses and disclosure of contingent assets and contingent liabilities, if any. Future events may occur which will cause the assumptions used in arriving at the estimates to change. The effects of any chan ges in judgments and estimates will be reflected in the financial statements as they become reasonably determinable.

Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Judgments
In the process of applying the Company's accounting policies, management has made the following judgment, apart from those involving estimations, which has the most significant effect on the amounts recognized in the financial statements.

a. *Assessment of timing of satisfaction of performance obligations*
Assessing when the Company satisfies a performance obligation, i.e. transfer control of a promised service to the customers, over time or point in time involves significant judgment. Accordingly, it affects the timing of revenue recognition for the performance obligation.

The Company's contracts with customers related to credit card transaction processing all contain a single performance obligation comprising of a series of distinct services that are substantially the same and have the same pattern of transfer to the customer. Accordingly, based on management's assessment, the performance obligations related to these services rendered to its customers are satisfied over time.

In 2025 and 2024, the Company's revenue related to interchange fees amounted to ₱6,773,147 and ₱1,025,054, respectively.

b. *Day-1 difference on fair value of intercompany loan*
Where the fair values of financial assets and financial liabilities recorded on the statement of financial position or disclosed in the notes cannot be derived from active markets, they are determined using discounted cash flow model, incorporating inputs such as current market rates of comparable instruments.

In the case of the Company's intercompany loan from its Parent Company, management assessed that significant input to determine the fair value for an equivalent arms-length instrument with comparable terms is based on unobservable input and is not currently determinable (i.e., Level 3).

Under PFRS 9, where the fair value at initial recognition differs from the transaction price and that the fair value is determined using Level 3 inputs, the Day 1 diffrence shall not be recognized immediately in profit or loss. Accordingly, the Company has recognized the intercompany loan from the Parent Company based on transaction price at initial recognition, which shall be measured at fair value once input to the valuation is determined.

<u>Estimates</u>
The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, which have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next period, are described below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

a. *Expected credit losses on receivables*
The Company evaluates the expected credit losses related to its receivables to be recognized in the balance sheet based on an individual assessment and available facts and circumstances, including, but not limited to historical experience, macro-economic factors, industry performance, and financial information. In particular, judgments and estimates by management are required in determining:

- whether a financial asset has had a significant increase in credit risk since initial recognition;
- whether a default has taken place and what comprises a default;
- sufficiency and appropriateness of data used and relationships assumed in building the Company’s expected credit loss model;
- macro-economic factors that are relevant in measuring a financial asset’s probability of default as well as the Company’s forecast of these macro-economic factors; and
- the measurement of the exposure at default for unused commitments on which an expected credit loss should be recognized and the applicable loss rate.

The carrying amounts and the related allowance for credit losses of the Company’s receivables are disclosed in Note 7.

b. *Recognition of deferred income taxes*
Deferred tax assets are recognized for deductible temporary differences to the extent that it is probable that taxable profit will be available against which the losses can be utilized. Significant management judgment is required to determine the amount of deferred tax assets that can be recognized, based on the forecasted level of future taxable profits and the related future tax planning strategies.

The Company reviews the carrying amounts at reporting date and reduces deferred tax assets to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized. As of December 31, 2025 management believes that the Company may not generate sufficient taxable profit to allow deferred tax assets to be utilized.

The recognized and unrecognized deferred tax assets are disclosed in Note 16.

4. Fair Value Measurement

The methods and assumptions used by the Company in estimating the fair values of its assets and liabilities are:

Cash in bank, Receivables, Due from related party and other financial assets under "Other assets", Accounts payable and other liabilities (except statutory liabilities)
Due to short-term maturities, the carrying value of the Company's financial assets and liabilities as reflected in the statements of financial position and related notes approximate their respective fair values.

Due to related party
The significant input to determine the fair value for an equivalent arms-length instrument with comparable terms is based on unobservable input and is not currently determinable (i.e., Level 3)

There were no transfers into and out of Level 3 fair value measurements in 2025 and 2024.

5. Financial Risk Management Objectives, Policies And Procedures

The Company's activities expose it to a variety of financial risks: credit risk, liquidity risk, and foreign exchange risk. The Company's overall risk management program focuses on the unpredictability of financial markets and seeks to minimize potential adverse effects on the Company's financial performance.

Risk management framework
The Board of Directors (BOD) has overall responsibility for the establishment and oversight of the risk management framework. Management is responsible for developing and monitoring the Company's risk management policies and reports regularly to the Board on its activities.

The following summarizes the review performed by the management on the Company's policies for managing each risk:

<u>Credit Risk</u>
Credit risk is the risk of financial loss to the Company if the counterparty to a financial instrument fails to meet its contractual obligations. The Company's credit risks primarily arise from cash in banks, receivables and due from related party.

Maximum exposure to credit risk
As of December 31, 2025 and 2024, the Company's maximum exposure, before and after taking into account collateral held or other credit enhancement, to credit risk is equal to the carrying value of financial assets as reflected in the statements of assets and liabilities and related notes.

As of December 31, 2025 and 2024, the Company has no significant off-balance sheet exposures.

Collateral and other credit risk mitigation
As of December 31, 2025 and 2024, all credit card receivables were unsecured.

Concentration of risks of financial assets with credit risk exposure
Concentrations arise when a number of counterparties are engaged in similar business activities, or activities in the same geographic region, or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations indicate the relative sensitivity of the Company's performance to developments affecting a particular industry or geographic location.

As of December 31, 2025 and 2024, all of the Company's financial assets are located in the Philippines, except for the cash in bank amounting to ₱25.41 million and ₱0.58 million, respectively, which are presented under the 'Cash and other cash items' account.

Shown below is the analysis of concentrations of credit risk arising from financial at the reporting date:

	2025				
	Cash and other cash items	**Receivables**	**Due from related party**	**Other financial assets***	**Total**
Financial intermediaries	**₱74,500,881**	**₱9,229,167**	**₱2,819,879**	**₱6,675,342**	**₱93,225,269**
Personal activities	**–**	**62,285,662**	**–**	**–**	**62,285,662**
Real estate	**–**	**–**	**–**	**1,397,329**	**1,397,329**
	74,500,881	**71,514,829**	**2,819,879**	**8,072,671**	**₱156,908,260**
Allowance for credit losses	**–**	**(5,915,270)**	**–**	**–**	**(5,915,270)**
	₱74,500,881	**₱65,599,559**	**₱2,819,879**	**₱8,072,671**	**₱150,992,990**

**Represents other financial assets included in "Other assets"*

	2024				
	Cash and other cash items	Receivables	Due from related party	Other financial assets*	Total
Financial intermediaries	₱64,518,380	₱20,163,094	₱47,423	₱6,334,379	₱91,063,276
Personal activities	–	8,008,977	–	–	8,008,977
Real estate	–	–	–	171,000	171,000
	64,518,380	28,172,071	47,423	6,505,379	99,243,253
Allowance for credit losses	–	–	–	–	–
	₱64,518,380	₱28,172,071	₱47,423	₱6,505,379	₱99,243,253

**Represents other financial assets included in "Other assets"*

Credit quality per class of financial assets
The Company's bases in grading its financial assets are as follows:

- *Pass* – Credit assets with high probability of collection and no missed payments.
- *Especially Mentioned* – Credit assets with missed payments of up to 30 days, or those exhibiting early signs of deterioration in creditworthiness that warrant close monitoring.
- *Substandard (Underperforming)* – Credit assets with missed payments between 31 to 90 days, where the borrower has demonstrated a significant increase in credit risk since origination but has not yet been classified as non-performing.
- *Substandard (Non-performing)* – Credit assets with missed payments between 91 to 120 days, considered non-performing and for which the likelihood of full collection is uncertain.
- *Doubtful* – Credit assets with missed payments between 121 to 180 days, evaluated as having low probability of full repayment.
- *Loss* – Credit assets with missed payments exceeding 180 days, considered uncollectible and fully impaired.

The Company uses an internal credit assessment process to determine the credit risk of its receivables at initial recognition and on an ongoing basis. The assessment is based on the cardholder's payment behavior and the number of days payments have been unpaid or missed.

Impairment Assessment

The Company defines a financial instrument as in default, which is fully aligned with the definition of credit impaired, in all cases when the borrower becomes more than 90 days past due on its contractual payments. As part of a qualitative assessment of whether a customer is in default, the Company also considers a variety of instances that may indicate unlikeliness to pay. When such events occur, the Company carefully considers whether the event should result in treating the customer as defaulted.

The criteria for determining whether credit risk has increased significantly vary by portfolio of financial assets and include combination of quantitative and qualitative factors such as backstop based on delinquency. Days past due are determined by counting the number of days since the earliest elapsed due date in respect of which full payment has not been received. A financial asset is deemed to be demonstrating SICR when it is past due for over 30 days.

ECL is a function of the Probability of Default (PD), Exposure at Default (EAD) and Loss Given Default (LGD), with the timing of the loss also considered, and is estimated by incorporating forward-looking economic information and through the use of experienced credit judgment.

The Company has segmented its credit exposures and developed a corresponding ECL methodology for each portfolio based on the underlying nature or characteristic of the portfolio and behavior of the accounts.

The Company groups its credit card receivables into three stages for purposes of computing the allowance for credit losses, as follows:

- *Stage 1* – Accounts current or with missed payments of up to 30 days. These are classified as Pass or Especially Mentioned. The Company recognizes a 12-month ECL allowance for these accounts.
- *Stage 2* – Accounts with missed payments between 31 to 90 days and classified as Substandard (Underperforming). These accounts reflect a significant increase in credit risk since origination, and the Company recognizes a lifetime ECL allowance.
- *Stage 3* – Accounts with missed payments of 91 days or more, classified as Substandard (Non-performing), Doubtful, or Loss. These are considered credit-impaired, and the Company recognizes a lifetime ECL allowance. Interest income on Stage 3 accounts is accrued net of the impairment amount.

The credit quality of the Company's credit card receivables is based on aging of accounts. Their breakdown as to aging and staging classification as of December 31, 2025 and 2024 follow:

	2025			
	ECL Staging			
Credit Card Receivables	**Stage 1**	**Stage 2**	**Stage 3**	**Total**
Current	**₱50,997,203**	**₱–**	**₱–**	**₱50,997,203**
1-30 days past due	**3,557,006**	–	–	**3,557,006**
31-60 days past due	–	**2,756,061**	–	**2,756,061**
61-90 days past due	–	**1,604,824**	–	**1,604,824**
91-120 days past due	–	–	**1,090,385**	**1,090,385**
121-150 days past due	–	–	**460,169**	**460,169**
151-180 days past due	–	–	**543,056**	**543,056**
181+ days past due	–	–	**1,276,958**	**1,276,958**
	₱54,554,209	**₱4,360,885**	**₱3,370,568**	**₱62,285,662**

	2024			
	ECL Staging			
Credit Card Receivables	Stage 1	Stage 2	Stage 3	Total
Current	₱7,628,152	₱–	₱–	₱7,628,152
1-30 days past due	126,541	–	–	126,541
31-60 days past due	–	24,966	–	24,966
61-90 days past due	–	90,164	–	90,164
91-120 days past due	–	–	–	–
121-150 days past due	–	–	74,910	74,910
151-180 days past due	–	–	55,811	55,811
181+ days past due	–	–	8,433	8,433
	₱7,754,693	₱115,130	₱139,154	₱8,008,977

As of December 31, 2025, and 2024, the Company's cash in bank and receivable from mastercard are assessed to have low credit risk and are classified under Stage 1. The Company assessed that their ECL is insignificant.

Liquidity Risk

Liquidity or funding risk is the risk that an entity will encounter difficulty in raising funds to meet commitments associated with the financial instruments. Liquidity risk may result from either the inability to sell financial assets quickly at their fair values, counterparty failing on repayment of a contractual obligation or inability to generate cash inflows as anticipated.

The Company's approach to managing liquidity is to ensure that it will always have sufficient liquidity to meet its liabilities when due. This is achieved through cash flow forecasting, maintaining adequate cash balances, and securing sufficient credit lines if required.

Liquidity is monitored by the Company on a regular basis and under stressed situations using gap analysis. The maturity profile of the Company's financial instruments, based on contractual undiscounted cash flows, is shown below:

	December 31, 2025						
	On demand	**Up to 1 month**	**1 to 3 months**	**3 to 6 months**	**6 to 12 months**	**Beyond 1 year**	**Total**
Financial Assets							
Cash and other cash items	**₱74,500,881**	**₱–**	**₱–**	**₱–**	**₱–**	**₱–**	**₱74,500,881**
Receivables	**–**	**62,285,662**	**–**	**–**	**9,229,167**	**–**	**71,514,829**
Due from related party	**2,819,879**	**–**	**–**	**–**	**–**	**–**	**2,819,879**
Other assets:							
Restricted cash in bank	**6,675,342**	**–**	**–**	**–**	**–**	**–**	**6,675,342**
Refundable security deposits	**1,150,720**	**–**	**–**	**–**	**–**	**270,000**	**1,420,720**
	85,146,822	**62,285,662**	**–**	**–**	**9,229,167**	**270,000**	**156,931,651**
Financial Liabilities							
Accounts payable and other liabilities*	**–**	**9,515,463**	**–**	**–**	**–**	**–**	**9,515,463**
Due to related party	**848,242**	**–**	**–**	**–**	**–**	**88,185,000**	**89,033,242**
Lease liabilities	**–**	**202,500**	**405,000**	**607,500**	**1,485,000**	**1,620,000**	**4,320,000**
	848,242	**9,717,963**	**405,000**	**607,500**	**1,485,000**	**89,805,000**	**102,868,705**
Net undiscounted financial asset (liability)	**₱84,298,580**	**₱52,567,699**	**(₱405,000)**	**(₱607,500)**	**₱7,744,167**	**(₱89,535,000)**	**₱54,062,946**

** Excluding due to government agencies.*

	December 31, 2024						
	On demand	Up to 1 month	1 to 3 months	3 to 6 months	6 to 12 months	Beyond 1 year	Total
Financial Assets							
Cash and other cash items	₱64,518,380	₱–	₱–	₱–	₱–	₱–	₱64,518,380
Receivables	–	8,008,977	–	–	20,163,094	–	28,172,071
Due from related party	47,423	–	–	–	–	–	47,423
Other assets							
Restricted cash in bank	6,334,379	–	–	–	–	–	6,334,379
Refundable security deposits	171,000	–	–	–	–	–	171,000
	71,071,182	8,008,977	–	–	20,163,094	–	99,243,253
Financial Liabilities							
Accounts payable and other liabilities*	–	2,945,745	–	–	–	–	2,945,745
Due to related party	854,441	–	–	–	–	–	854,441
	854,441	2,945,745	–	–	–	–	3,800,186
Net undiscounted financial asset (liability)	₱70,216,741	₱5,063,232	₱–	₱–	₱20,163,094	₱–	₱95,443,067

** Excluding due to government agencies.*

Market Risk

Market risk is the risk of changes in the fair value of financial instruments from fluctuations in foreign exchange rates (currency risk) and market interest rates (interest rate risk), whether such change in prices are caused by factors specific to the individual instrument or its issuer or factors affecting all instruments traded in the market.

Interest rate risk

The interest rate risk of the Company mainly measures the repricing risk that is caused by the difference between maturity date and repricing date of the Company's financial assets and financial liabilities..

The Company has no financial assets and financial liabilities subject to significant interest rate risk.

Foreign currency risk

Foreign currency risk is the risk to earnings or capital arising from changes in the foreign exchange rates. The Company undertakes transactions denominated in foreign currencies; consequently, exposures to exchange rate fluctuations arise.

In translating the US dollar-denominated monetary assets and liabilities into peso amounts, the exchange rates used were ₱58.79 and ₱57.845 to US$1.00, as of December 31, 2025 and 2024, respectively.

The carrying amounts of the Company's foreign currency-denominated monetary assets and monetary liabilities at the reporting date are as follows:

	2025		2024	
	In US Dollars	**In Philippine Peso**	In US Dollars	In Philippine Peso
Financial Assets				
Cash in bank	**US$436,923**	**₱25,686,691**	US$503,634	₱29,132,685
Restricted cash in bank	**113,545**	**6,675,342**	109,506	6,334,379
	US$550,468	**₱32,362,033**	US$613,140	₱35,467,064
Financial Liabilities				
Intercompany loan	**US$1,500,000**	**₱88,185,000**	US$–	₱–

The following table sets forth the sensitivity to a reasonably possible change in US dollar exchange rates, with all variables held constant, of the Company's profit before tax as of December 31, 2025 and 2024:

Currency	Increase/decrease in exchange rates	Impact on income before tax 2025	2024
Net Position			
USD	+ 1.00%	(₱558,230)	₱354,671
	- 1.00%	₱558,230	(354,671)

6. Cash and Other Cash Items

This account pertains to cash in bank amounting to ₱74,500,881 and ₱64,518,380 as of December 31, 2025 and 2024 respectively.

The average effective interest rate on bank deposits is 0.01% in both 2025 and 2024. Interest income from bank deposits amounted to ₱31,404 and ₱45,486 in 2025 and 2024, respectively.

7. Receivables

The Company's receivables consist of the following:

	2025	2024
Credit card receivables	**₱62,285,662**	₱8,008,977
Allowance for credit losses	**(5,915,270)**	–
	56,370,392	8,008,977
Receivables from Mastercard (Note 14)	**9,229,167**	20,163,094
	₱65,599,559	₱28,172,071

<u>Credit card receivables</u>

Credit card receivables are non-interest bearing, unsecured and are generally on a 17-day credit term.

The corresponding movement of the gross carrying amount of the credit card receivables during 2025 and 2024 are shown below:

	ECL Staging			
Credit card receivables	**Stage 1 12-month ECL**	**Stage 2 Lifetime ECL**	**Stage 3 Lifetime ECL**	**Total**
Gross carrying amount at January 1, 2025	**₱7,754,693**	**₱115,130**	**₱139,154**	**₱8,008,977**
Transfers:				
Transfer from Stage 1 to Stage 2	**(32,993)**	**32,993**	**–**	**–**
Transfer from Stage 1 to Stage 3	**(13,712)**	**–**	**13,712**	**–**
Transfer from Stage 2 to Stage 1	**–**	**–**	**–**	**–**
Transfer from Stage 2 to Stage 3	**–**	**(49,862)**	**49,862**	**–**
Transfer from Stage 3 to Stage 1	**–**	**–**	**–**	**–**
Transfer from Stage 3 to Stage 2	**–**	**–**	**–**	**–**
New financial assets originated *	**45,593,800**	**4,263,276**	**2,627,143**	**52,484,219**
Financial assets written-off	**–**	**–**	**(111,328)**	**(111,328)**
Other movements	**1,252,421**	**(652)**	**652,025**	**1,903,794**
Gross carrying amount at December 31, 2025	**₱54,554,209**	**₱4,360,885**	**₱3,370,568**	**₱62,285,662**

** Stage classification of new financial assets originated pertains to the stage as of end of year.*

Credit card receivables	ECL Staging Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total
Gross carrying amount at January 1, 2024	₱–	₱–	₱–	₱–
New financial assets originated *	7,754,693	115,130	139,154	8,008,977
Gross carrying amount at December 31, 2024	₱7,754,693	₱115,130	₱139,154	₱8,008,977

** Stage classification of new financial assets originated pertains to the stage as of end of year.*

Allowance for credit lossses

In 2024, the Company did not recognize allowance for credit losses on its credit card receivables. The Company assessed that any ECL was not material.

The table below presents the movements of the allowance for credit losses on credit card receivables during 2025 grouped according to the different stages of the ECL model.

Credit card receivables	**ECL Staging Stage 1 12-month ECL**	**Stage 2 Lifetime ECL**	**Stage 3 Lifetime ECL**	**Total**
Loss allowance at January 1, 2025**	**₱–**	**₱–**	**₱–**	**₱–**
Transfers:				
Transfer from Stage 1 to Stage 2	**–**	**1,084**	**–**	**1,084**
Transfer from Stage 1 to Stage 3	**–**	**–**	**451**	**451**
Transfer from Stage 2 to Stage 1	**–**	**–**	**–**	**–**
Transfer from Stage 2 to Stage 3	**–**	**–**	**20,051**	**20,051**
Transfer from Stage 3 to Stage 1	**–**	**–**	**–**	**–**
Transfer from Stage 3 to Stage 2	**–**	**–**	**–**	**–**
New financial assets originated *	**1,498,110**	**1,714,410**	**2,204,477**	**5,416,997**
Other movements	**41,152**	**(262)**	**547,125**	**588,015**
Provision for credit loss during the period	**1,539,262**	**1,715,232**	**2,772,104**	**6,026,598**
Financial assets written-off	**–**	**–**	**(111,328)**	**(111,328)**
Loss allowance at December 31, 2025	**₱1,539,262**	**₱1,715,232**	**₱2,660,776**	**₱5,915,270**

** Stage classification of new financial assets originated pertains to the stage as of end of year.*

Receivables from Mastercard

Receivables from Mastercard includes but not limited to expenses paid for technical and marketing costs for the commercial launch of the card, implementation and set-up costs in the market and core fees in relation to the processing of settlements.

In 2025, the Company recognized provision for credit losses and wrote-off the related allowance amounting receivables amounting to ₱2,490,246 that did not qualify for reimbursement in accordance with the agreement with Mastercard (see Note 14).

8. Property and Equipment

The composition of and movements in this account follow:

	2025 Furniture and Fixtures	**Office Equipment**	**Right-of-use Asset**	**Total**
Cost				
Balance at beginning of year	**₱–**	**₱93,476**	**₱–**	**₱93,476**
Additions	**215,018**	**538,850**	**5,442,900**	**6,196,768**
Balance at end of year	**215,018**	**632,326**	**5,442,900**	**6,290,244**

(Forward)

	2025			
	Furniture and Fixtures	**Office Equipment**	**Right-of-use Asset**	**Total**
Accumulated Depreciation and Amortization				
Balance at beginning of year	**₱–**	**₱38,727**	**₱–**	**₱38,727**
Depreciation and amortization	**21,167**	**135,997**	**907,150**	**1,064,314**
Balance at end of year	**21,167**	**174,724**	**907,150**	**1,103,041**
Net Book Value at December 31	**₱193,851**	**₱457,602**	**₱4,535,750**	**₱5,187,203**

	2024			
	Furniture and Fixtures	Office Equipment	Right-of-use Asset	Total
Cost				
Balance at beginning of year	₱–	₱88,428	₱–	₱88,428
Acquisitions	–	5,048	–	5,048
Balance at end of year	–	93,476	–	93,476
Accumulated Depreciation and Amortization				
Balance at beginning of year	–	20,452	–	20,452
Depreciation and amortization	–	18,275	–	18,275
Balance at end of year	–	38,727	–	38,727
Net Book Value at December 31	₱–	₱54,749	₱–	₱54,749

9. Other Assets

The details of the Company's prepayment and other assets are shown below:

	2025	2024
Financial Assets		
Restricted cash in bank	**₱6,675,342**	₱6,334,379
Refundable security deposits	**1,397,329**	171,000
	8,072,671	6,505,379
Non-financial Assets		
Card inventory	**1,016,581**	730,444
Advances to supplier	**875,913**	–
Prepaid rent	**335,555**	–
Prepaid tax	**41,753**	–
Input value added tax	**–**	487,446
	2,269,802	1,217,890
	10,342,473	7,723,269
Allowance for card inventory	**(252,909)**	–
	₱10,089,564	₱7,723,269

Restricted cash in bank pertains to the cash in an interest-bearing account, maintained as collateral for its obligations to the credit card service provider, as required by the security agreement signed between the Company and the credit card service provider.

The average effective interest rate on restricted cash in bank is 4.95% in both 2025 and 2024. Interest income earned amounted to ₱250,569 and ₱292,944 in December 31, 2025 and 2024, respectively.

Card inventory pertains to unused cards and packaging.

10. Accounts Payable and Other Liabilities

The components of trade and other payables account are as follows:

	2025	2024
Financial Liabilities		
Trade payables	**₱5,158,228**	₱148,595
Accrued expenses	**4,285,315**	2,772,000
Other payables	**71,920**	25,150
	9,515,463	2,945,745
Non-financial Liabilities		
Due to government agencies	**71,803**	88,967
	₱9,587,266	₱3,034,712

Trade payables pertain to obligations related to local suppliers of good and services and amounts due to Mastercard arising from network charges incurred in connection with the Company's card issuance operations. No interest is charged on default payment within the trade payables' credit period.

Accrued expenses pertain primarily to professional fees arising from audit and legal services.

11. Leases

The Company leases its office premises at 11th Floor Asian Century Center 4th Avenue, Bonifacio Global City, Taguig. The lease has a term of two (2) years with a renewal option, which the Company has assessed as reasonably certain to exercise. Accordingly, the lease term used in computing the right-of-use asset and liability reflects the optional renewal period.

The Company applied an incremental borrowing rate of 5.62% as the discount rate in determining the present value of lease payments, as the interest rate implicit in the lease could not be readily determined.

The movements in lease liabilities follows:

	2025
As at January 1	₱–
Additions	4,874,944
Interest expense	82,396
Lease payments	(810,000)
As at December 31	₱4,147,340

The following are the amounts recognized in the statement of comprehensive income:

	2025
Depreciation expense of right-of-use assets	₱907,150
Interest expense on lease liability	82,396
	₱989,546

Future minimum lease payable is as follows:

	2025
Within one (1) year	₱2,700,000
After one (1) year but not more than five (5) years	1,620,000
	₱4,320,000

12. Maturity Analysis of Assets and Liabilities

The following table presents the assets and liabilities by contractual maturity and settlement dates as of December 31, 2025 and 2024:

	2025			2024		
	Within Twelve Months	**Over Twelve Months**	**Total**	Within Twelve Months	Over Twelve Months	Total
Financial Assets						
Cash and other cash items	**₱74,500,881**	**₱–**	**₱74,500,881**	₱64,518,380	₱–	₱64,518,380
Receivables	**71,514,829**	**–**	**71,514,829**	28,172,071	–	28,172,071
Due from related party	**2,819,879**	**–**	**2,819,879**	47,423	–	47,423
Other assets	**1,150,720**	**6,921,951**	**8,072,671**	171,000	6,334,379	6,505,379
	149,986,309	**6,921,951**	**156,908,260**	92,908,874	6,334,379	99,243,253
Non-financial Assets						
Property and equipment – gross	**–**	**6,290,244**	**6,290,244**	–	93,476	93,476
Deferred tax assets	**–**	**43,722**	**43,722**	–	1,950,508	1,950,508
Other assets – gross	**2,269,802**	**–**	**2,269,802**	1,217,890	–	1,217,890
	2,269,802	**6,333,966**	**8,603,768**	1,217,890	2,043,984	3,261,874
	152,256,111	**13,255,917**	**165,512,028**	94,126,764	8,378,363	102,505,127
Allowance for impairment and credit losses			**(6,168,179)**			–
Accumulated depreciation and amortization			**(1,103,041)**			(38,727)
			₱158,240,808			₱102,466,400
Financial Liabilities						
Accounts and trade payables	**₱9,515,463**	**₱–**	**₱9,515,463**	₱2,945,745	₱–	₱2,945,745
Due to a related party	**848,242**	**88,185,000**	**89,033,242**	854,441	–	854,441
	10,363,705	**88,185,000**	**98,548,705**	3,800,186	–	3,800,186
Non-financial Liabilities						
Lease liabilities	**2,285,548**	**1,861,792**	**4,147,340**	–	–	–
Other liabilities*	**71,803**	**–**	**71,803**	88,967	–	88,967
	2,357,351	**1,861,792**	**4,219,143**	88,967	–	88,967
	₱12,721,056	**₱90,046,792**	**₱102,767,848**	₱3,889,153	₱–	₱3,889,153

**Other liabilities include due to government agencies.*

13. Issued Capital

The table below presents the movement of the Company's common stock as of December 31, 2025 and 2024.

	2025		2024	
	Shares	**Amount**	Shares	Amount
Common stock − ₱1.00 par value				
Authorized – shares	**370,000,000**		370,000,000	
Issued and outstanding				
Balance at beginning of year	**100,000,000**	**₱100,000,000**	10,000,000	₱10,000,000
Conversion of deposit for future stock subscription	**−**	**−**	90,000,000	90,000,000
Balance at end of year	**100,000,000**	**₱100,000,000**	100,000,000	₱100,000,000

14. Significant Contract Agreement

Agreement with Mastercard

In September 2022, Zed Financial PH, Inc. (the "Customer") entered into a business agreement with Mastercard Asia/Pacific Pte. Ltd. ("Mastercard"), under which Mastercard agreed to provide certain incentives and support to the Customer, subject to the Customer's fulfillment of the terms and conditions outlined in the agreement (the "Agreement"). It outlines a comprehensive set of conditions that the Customer must fulfill to receive and retain the incentives offered by Mastercard.

The Agreement shall become effective upon the date of execution and signing by both parties. Thereafter, the Agreement shall automatically renew on an annual basis unless either party provides written notice of termination at least one (1) month prior to the expiration of the then-current term.

In addition, under the Agreement with Mastercard, the Company is entitled to receive incentives for qualifying expenses incurred in connection with its card issuance operations ("Core fee discounts"). These incentives are directly linked to, and contingent upon, the Company's incurrence of specific Mastercard network charges, including licensing fees, implementation costs, and other qualifying operational expenses under the agreement.

The table below presents card network fees, net of core fee discounts under the agreement with Mastercard, recognized as expense in 2025 and 2024.

	2025	2024
Card network fees	**₱21,051,686**	₱11,002,612
Core fee discounts	**(13,320,886)**	(10,118,157)
	₱7,730,800	₱884,455

The Company assessed that there is no separate performance obligation related to "Core fee discounts" and accordingly, it presents them on a net basis against the card network fees.

Mastercard Launch Fund Support

Under the same Agreement, the Company is entitled to an incentive to support the technical and commercial launch of Zed Card in the Philippines. In 2024, the Company recognized the Launch Fund Support as income amounted to ₱7,594,561, which was subsequently collected in 2025.

Total receivables recognized from this agreement amounted to ₱9,228,267 and ₱20,162,194 in December 31, 2025 and 2024 respectively, as disclosed in Note 7.

15. **Related Party Transactions**

Parties are considered to be related if one party has the ability, directly or indirectly, to control the other party or exercise significant influence over the other party in making financial and operating decisions. Parties are also considered to be related if they are subjected to common control or common significant influence. Related parties may be individuals or corporate entities.

The Company's related parties include its Parent Company, Zed Financial, Inc. and key management personnel. Transactions with such parties are made in the ordinary course of business and on substantially same terms as those prevailing at the time for comparable transactions with other parties. These transactions also did not involve more than the normal risk of collectability or present other unfavorable conditions.

The Company's related party transactions are collected (for financial assets) or settled (for financial liabilities) in cash. There have been no guaranties provided or received for any related party receivables and payables.

The following table shows related party transactions included in the financial statements:

	December 31, 2025		
	Amount/ Volume	**Outstanding Balance**	**Nature, Terms and Conditions**
Parent Company			
Due from related party	**₱2,819,879**	**₱2,819,879**	Non-interest bearing, unsecured, collectible on demand, will be settled in cash and unimpaired advances on behalf of the Parent Company. No guarantee have been received in respect of these advances. No provisions have been made for expected credit loss in respect of the amount owed by the related party.
Due to related party	**–**	**848,242**	Non-interest bearing, unsecured, payable on demand and will be settled in cash. No guarantees have been given in respect of the amount owed to the Parent Company. Advances are used mainly to finance the working capital requirements of the Company.
Intercompany loan	**88,185,000**	**88,185,000**	Represents the non-interest bearing intercompany loan agreement entered amounting to US$1,500,000 with maximimum loan amount of US$14,000,000. Proceeds from the loan shall be used exclusively for working capital purposes. Maturity date is on July 31, 2028.

	December 31, 2024		
	Amount/ Volume	Outstanding Balance	Nature, Terms and Conditions
Parent Company			
Due to related party	₱–	₱848,242	Non-interest bearing, unsecured, payable on demand and will be settled in cash. No guarantees have been given in respect of the amount owed to the Parent Company. Advances are used mainly to finance the working capital requirements of the Company.

(Forward)

	December 31, 2025		
	Amount/ Volume	**Outstanding Balance**	**Nature, Terms and Conditions**
Officers			
Due from officers	₱21,023	₱47,423	Non-interest bearing, unsecured, collectible on demand, will be settled in cash and unimpaired advances on behalf of the officers.
Due to officers	6,199	6,199	Non-interest bearing, unsecured, collectible on demand, will be settled in cash owed to the officers.

Remuneration of Key Management Personnel
Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the Company, directly or indirectly. The Company considers the President and Chairman to constitute key management personnel for purposes of PAS 24, *Related Party Disclosures*.

The compensation of the Company's key management personnel is paid by its Parent Company.

16. Income Taxes

Income taxes include corporate income tax and final taxes on interest income from deposit in banks, as discussed below. These income taxes, as well as the deferred tax benefits and provisions, are presented as 'Provision for (benefit from) income tax' in the statement of comprehensive income.

Republic Act (RA) No. 9337, *An Act Amending National Internal Revenue Code*, as amended by RA 10963 otherwise known as the *Tax Reform for Acceleration and Inclusion* (TRAIN) and RA 11534 otherwise known as *Corporate Recovery and Tax Incentives for Enterprises* (CREATE), provides that Regular Corporate Income Tax (RCIT) rate shall be 25.00% while interest expense allowed as a deductible expense is reduced to 20.00% of interest income subject to final tax.

A minimum corporate income tax (MCIT) of 2.00% on gross income is computed and compared with the RCIT. Any excess MCIT over RCIT is deferred and can be used as a tax credit against future income tax liability for the next three years. In addition, the NOLCO is allowed as a deduction from taxable income in the next three years from the year of inceetion.

CMEPA Law
RA No. 12214 otherwise known as *Capital Markets Efficiency Promotion Act* (CMEPA) was signed into law last May 29, 2025. The law took effect on July 1, 2025.

The key changes to the Philippine tax law pursuant to the CMEPA Law which have an impact to the Company are the following:

- Standardization of 20.00% final tax on any currency deposits, regardless of tenure (i.e., removing the previous tax exemption on interest income from long-term deposits), except for non-resident alien not engaged in trade or business (NRANETB) and non-resident foreign corporation (NRFC), whose interest income will still be subject to 25.00% final withholding tax (FWT);
- Gains realized from long-term bonds, debentures, or other certificate of indebtedness are now part of gross income, therefore, subject to 25.00% RCIT; and
- Revised Documentary Stamp Tax (DST) rate of 75.00% of 1.00% on original issuance of shares and debt instruments while original issuances of UITFs and mutual funds are now exempt from

DST, as well as the sale, exchange, redemption or other disposition of shares of stock listed and traded through a foreign stock exchange.

The provision for (benefit from) income tax consists of:

	2025	2024
Current		
MCIT	**₱39,698**	₱–
Final tax	**6,185**	7,471
	45,883	7,471
Deferred	**1,906,786**	(1,962,335)
	₱1,952,669	(₱1,954,864)

The details of net deferred tax assets follow:

	2025	2024
Deferred tax assets on:		
Lease liabilities	**₱1,036,835**	₱–
Allowance for credit losses	**258,549**	–
Allowance for inventory	**63,227**	–
NOLCO	**–**	2,969,858
Deferred tax liabilities on		
Right-of-use assets	**(993,113)**	–
Unrealized foreign exchange gain	**(321,776)**	(1,019,350)
	₱43,722	₱1,950,508

As at December 31, 2025, the Company did not recognize the following deferred tax assets on NOLCO and deductible temporary differences as it believes it may not be probable to be realized in the future.

	2025
NOLCO	₱6,977,750
Allowance for credit losses	1,220,269
Excess MCIT	39,698
	₱8,237,717

NOLCO is presented as follows:

Inception Year	Amount	Applied	Expired	Balance	Expiry Year
2022	₱1,275,615	₱–	₱1,275,615	₱–	2025
2023	8,297,274	–	–	8,297,274	2026
2024	2,306,538	–	–	2,306,538	2027
2025	17,307,188	–	–	17,307,188	2028
	₱29,186,615	₱–	₱1,275,615	₱27,911,000	

The reconciliation between the statutory income tax benefit and the provision for income tax (income tax benefit) follows:

	2025	2024
Statutory income tax benefit	**(₱10,287,905)**	(₱1,009,700)
Tax effects of:		
Non-deductible expense	**3,686,760**	1,465,653
Interest income subject to final tax	**(1,666)**	(11,372)
Nontaxable income	**(1,141)**	−
Movement in unrecognized deferred tax assets	**8,237,717**	−
Expiration of NOLCO	**318,904**	−
Other movements	−	(2,399,445)
Provision for (benefit from) income tax	**₱1,952,669**	(₱1,954,864)

17. Capital Management Objectives, Policies And Procedures

The Company manages its capital to ensure that the Company will be able to continue as going concern while maximizing the return to stakeholders through the optimization of the debt and equity balance.

The capital structure of the Company consists of equity of the Company (comprising capital stock, additional paid in capital and retained earnings (deficit).

Based on Manual of Regulations for Non-Bank Financial Institution (MORNBFI) under Section 121-CC, BSP Circular No. 1003 series of 2018, *Philippine Credit Card Industry Regulation LAW (RA 10870),* the Company is required to meet the capital requirement amounting to ₱100,000,000. As of December 31, 2025 and 2024, the Company's paid-in capital is ₱100,355,999.

The Company's Board of Directors review the capital structure of the Company on an annual basis. As part of this review, the Board considers the cost of capital and the risks associated with each class of capital.

Management acknowledges the deficit position and has taken active steps to address it. Subsequent to year-end, the Parent Company, Zed Financial, Inc., entered into a subscription agreement in February 2026 for the purchase of 57,500,000 share at a total consideration of US$1,000,000. This capital injection underscores the Parent Company's continued commitment to support the Company's operations and long-term growth objectives.

18. Supplementary Information Required Under Section 134-N of the Manual of Regulations for Non-Bank Financial Institutions (MORNBFI)

Presented below is the supplementary information required by the BSP under Section 134-N of the MORNBFI based on BSP Circular No. 1075, Amendments to Regulations on Financial Audit of Non-Bank Financial Institutions to be disclosed as part of the notes to financial statements. This supplementary information is not a required disclosure under PFRS Accounting Standards.

Basic quantitative indicators of financial performance
The following basic ratios measure the financial performance of the Company:

	2025	2024
Return on average equity	**(55.96%)**	(3.83%)
Return on average assets	**(33.07%)**	(2.01%)

The Company has no assets considered interest-earning for purposes of calculating the net interest margin.

Description of capital instruments issued
The Company considers its common stock as capital instruments.

Significant credit exposures
Information on the significant credit exposures (gross of allowance for credit losses) of the Company are as follows:

	2025		2024	
	Amounts	**%**	Amounts	%
Personal activities	**₱62,285,662**	**100.00**	₱8,008,977	100.00

Status of loans
Information on the amounts of performing and non-performing credit card receivables (gross of allowance for credit losses) of the Company are as follows:

	2025			2024		
	Performing	**Non-Performing**	**Total**	Performing	Non-Performing	Total
Credit card receivables	**₱58,915,094**	**₱3,370,568**	**₱62,285,662**	₱7,869,823	₱139,154	₱8,008,977

According to BSP Circular 941, *Amendments to the Regulations on Past Due and Non-Performing Loans*, loans shall be considered non-performing, even without any missed contractual payments, when it is considered impaired under existing accounting standards, classified as doubtful or loss, in litigation, and/or there is evidence that full repayment of principal and interest is unlikely without foreclosure of collateral, if any. All other loans, even if not considered impaired, shall be considered non-performing if any principal and/or interest are unpaid for more than ninety (90) days from contractual due date, or accrued interests for more than ninety (90) days have been capitalized, refinanced, or delayed by agreement.

Secured liability and assets pledged as security
The Company has no secured liabilities and assets pledged as security as of December 31, 2025 and 2024.

Commitments and contingencies
The Company has no contingencies and commitments arising from off-balance sheet items as of December 31, 2025 and 2024.

Breakdown of exposures to directors, officers, stockholders and their related interest (DOSRI)
As required by the BSP, the Company discloses loan transactions with its affiliates and investees and with certain directors, officers, stockholders, and related interests (DOSRI).

The Company has no outstanding related party loans and loans to DOSRI as of December 31, 2025 and 2024.

19. Supplementary Information Required Under Revenue Regulations (RR) No. 15-2010

On November 25, 2010, the BIR issued RR 15-2010 prescribing the manner of compliance in connection with the preparation and submission of financial statements accompanying the tax returns. It includes provisions for additional disclosure requirements in the notes to the financial statements, particularly on taxes and licenses paid or accrued during the year.

Taxes and licenses
The components of ‘Taxes and licenses’ for the year ended December 31, 2025 follow:

Documentary stamp tax	₱654,131
Output VAT	144,727
Gross receipts tax	143,428
Local taxes	25,039
Others	162,000
	₱1,129,325

Withholding taxes
Details of total remittances and outstanding balances of withholding taxes in 2025 are as follows:

	Amount remitted in 2025	Withholding tax payable as of December 31, 2025
Expanded withholding taxes	₱187,865	₱71,803

Input and Output VAT
As of June 2025, the Company updated its registration from VAT-registered to Non-VAT registered subject to gross receipts tax.

An analysis of the Company’s input tax claimed during the year is as follows:

Balance, January 1	₱487,446
Current year’s domestic purchases/payments	62,373
Total available input VAT	549,819
Applied against output VAT	(144,727)
Unutilized and written-off input VAT	(405,092)
Balance, December 31	₱–

Tax Assessment
As of December 31, 2025, the Company has no pending tax assessment from the BIR.

SGV
Building a better working world

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1226 Makati City
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INDEPENDENT AUDITOR'S REPORT

The Board of Directors and the Stockholders
Zed Financial PH, Inc. (Formerly Zed Philippines, Inc.)
(A Wholly-owned Subsidiary of Zed Financial, Inc.)
12th Floor, Neo, 4th Avenue Corner 30th Street,
Bonifacio Global City, Taguig, 1635

We have audited the financial statements of Zed Financial PH, Inc. (the Company) for the year ended December 31, 2025, on which we have rendered the attached report dated May 15, 2026.

In compliance with the Revised Securities Regulation Code Rule 68, we are stating that the above Company has one (1) stockholder owning one hundred (100) or more shares.

SYCIP GORRES VELAYO & CO.

Alvin R. Lagrimas
Partner
CPA Certificate No. 0134448
Tax Identification No. 400-496-026
BOA/PRC Reg. No. 0001, April 16, 2024, valid until August 23, 2026
SEC Partner Accreditation No. 134448-SEC (Group A)
Valid to cover audit of 2025 to 2029 financial statements
SEC Firm Accreditation No. 0001-SEC (Group A)
Valid to cover audit of 2021 to 2025 financial statements
BIR Accreditation No. 08-001998-199-2025, December 9, 2025, valid until December 8, 2028
PTR No. 10765061, January 2, 2026, Makati City

May 15, 2026